



OTTO KAHN

1867–1934

German-born Otto Kahn became the J. P. Morgan of his era as the star partner of the powerful Kuhn, Loeb investment banking house. One colleague described him as “thè Lorenzo de Medici of his day . . . with an air of detachment from anything as plebian as money.” And this was a man who never completed grammar school and who loved to write essays, poems, and stories. His mother, however, advised that he burn his writings. At 16 he embarked on his banking career as an apprentice in a small bank. His first promotion, he said, was “in recognition of the zeal, energy and accurateness with which I had accomplished the functions of stamplicker.” In 1890 he convinced his employer, the Deutsche Bank, to transfer him to its London branch. Three years later, he found himself in New York as an arbitrage clerk for Speyer & Co., an international banking house.

Once in New York, Kahn surveyed the banking scene and discovered that J. P. Morgan and Kuhn, Loeb were the two most powerful firms. He then sought employment at the latter. In 1896 he married a partner’s daughter, apparently a tradition in the company for men who wanted to join the firm. There, he joined in the fray as Kuhn, Loeb battled J. P. Morgan for the control of major railroads. The money made from the railroads and his own personal investing made Kahn extremely wealthy. He felt it was his duty to give back to society, and in 1903 he joined the board of the Metropolitan Opera, a pet project. Many a time, a partner at the office would see an opera score opened next to a stock exchange report.

The progressive Kahn was never afraid to say publicly that the government needed to regulate business. That forthrightness soon attracted President Theodore Roosevelt, who began to consult Kahn on fiscal issues. Like Charles Merrill, Kahn promoted better self-regulation and shocked Wall Street from time to time with proposals that would make everyone more honest. In *The New York Stock Exchange and Public Opinion*, he addresses some of those sticky issues, such as moral obligations and the public image of Wall Street.